

Three Tests to Determine Property Type

When Mrs. Goldman sold her home, she took with her several rose bushes, the antique light fixtures, and the custom draperies. Was she within her rights? The courts use three basic tests to determine whether an item is a fixture (meaning that it's part of the real property being conveyed in a real estate transaction and should remain) or personal property (in which case it belongs to the seller, and can be removed).

The Three As

These tests may be remembered as the Three "As." They are:

- Attachment
- Adaptation
- Agreement

Method of Attachment

The method of attachment simply means, how and whether the item is attached to the property. If, for instance, you purchased an outdoor fireplace kit which involved stacking interlocking blocks together on a level surface on your outdoor patio, then later you decided to sell your house, you could take this fireplace with you, even if it weighed several hundred pounds, because it isn't attached to the property itself. If, however, to make the fireplace more secure, you cemented it to your patio, this would be a form of permanent attachment that now makes the fireplace part of the real property. Mrs. Goldman's antique light fixtures were attached with wiring, screws, and other methods to the walls and ceiling of the house. As such, they were real property and shouldn't have been removed. Her rose bushes were planted in the ground; they also shouldn't have been removed.

Adaptation

The courts used to use the method of attachment as the only test of whether an item was real property or personal property. However, adaptation now also figures in to the equation. Adaptation has to do with how the item is situated or adapted to the real property. Even if your standalone fireplace wasn't cemented in, if it was part of an outdoor entertainment area and fit into it in such a way that other fixed items would have to be dismantled to remove the fireplace, it could be argued that the item was adapted to the environment, and mustn't be removed. Mrs. Goldman's custom draperies were adapted to the windows they were custom-made for, and shouldn't have been removed.

Agreement

Agreement is the simplest test-if the parties have agreed that an item will stay or go, then that agreement meets the legal test. To be safe, the agreement should be in writing. Mrs. Goldman could've saved herself a lot of trouble had the items she wished to remove been accounted for in the contract between the parties.